These two seemingly banal sentences, coming so soon after the attacks, had a remarkable calming effect on the US financial markets, and by extension, on the global financial markets. The ‘announcement effect’ was striking.

Similarly, in the midst of the eurozone crisis when the collapse of the euro seemed imminent, it was the European Central Bank President Mario Draghi’s famous words in April 2012 that the ECB will do ‘whatever it takes’ that did more to save the euro than all the exhausting summits, emergency conclaves and emphatic communiqués of the eurozone leaders. Or take the case of the unconventional monetary policy (UMP) of the US Federal Reserve in the wake of the financial crisis of 2008. Analysts are now widely agreed that the UMP would have been futile had it not been accompanied by unconventional communication aimed at reassuring the markets that the exceptionally easy money regime will be maintained over an ‘extended period of time’.

The positive impact of communication is not limited to crisis times, however. The received wisdom today is that greater transparency, active outreach and more open communication are always positive for central banks; the impact, of course, is more dramatic during crisis times.

Central Bank Communication—Old and New Orthodoxies

Given the potency of their communication, one would have thought central banks would have actively embraced communication as a valuable policy tool. The reality has, in fact, been quite the opposite. Until quite recently, the conventional role model prescribed for central banks has been that they should remain strictly in the background, and if their policies are credible, they would speak for themselves. Governors themselves should be backroom boys, speak as little as possible and when they do speak, they should do so with extreme circumspection.

A telling illustration of this old-school model comes from what Greenspan, then chairman of the Federal Reserve, said in 1987: ‘Since